important constituent elements. Such an analysis obviously touches on both the domain of Constitutional Law and that of Political Science in its broader aspect. Especially is this true when the particular constituent part of a political society studied is itself of the genus of which the State is held to be the highest species.

An adequate study of the nature of the corporation must proceed in the light of comprehensive surveys that have been made of the nature of the State itself. And, indeed, any such study of the nature of the State must find its materials (as well as, in this case, its likeness), in the analysis of particular types of corporate groups within the State. If we substitute for the word "State," the word "corporation," in Dr. Willoughby's postulate as to the scope of a study of the Nature of the State, the paraphrased quotation cannot fail to indicate the striking similarity of the extent of the two inquiries. It would read as follows:

"The conception of the 'corporation,' which we have to obtain, if it is to be satisfactory, must be one that will disclose its ultimate nature, including therein a sufficient reason for its existence, and adequate justification of the right by which it exercises its authority. It must contain a statement of the attributes with which a 'corporation' is necessarily endowed, and by the possession of which it may be distinguished from other 'associations.' It will thus afford us a general type, rather than an empirical illustration. The origin of political authority (that is, 'corporate autonomy'), so far as it can be rationally determined, must receive satisfactory treatment, and the loction of sovereignty, (that is, 'group will') be considered. Furthermore, the conception must be one upon which we can base a true philosophy of law, and in accordance with which may be satisfactorily interpreted the nature of the relations between different 'corporations' (that is, 'members of the State'), and between particluar 'corporations' and the individuals composing them."[4]

[4] Willoughby, The Nature of The State, pp. 6-7. Alterations in the language of the quotation, and additions thereto, are enclosed in quotation marks or parentheses.

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CHAPTER II.

DEFINITIONS AND HISTORICAL SUMMARY.

Characteristics of Corporate Existence. The most usual distinguishing characteristics of a corporation are: limited liability of individual members for the debts of the corporation, continuing existence irrespective of change of membership or stock-ownership, and centralized control of property and interests. To these may be added the necessary condition of corporate existence: origin and definition of legal powers in an enabling act of the State. A frequent, though not essential concomitant of corporate organization is large concentration of capital. This latter characteristic, however, is an economic reason for incorporation, rather than a quality usually thought of as inherent in the nature of corporate organization.

When a criterion is sought by which to draw a line between an incorporated and an unincorporated body, no one of the above-named characteristics can be taken as an absolutely certain guide. Limited liability is not such a criterion. There are corporations the liability of whose members is unlimited, and there are unincorporated companies whose members enjoy limited liability.[5] Moreover, there are numerous degrees of limited liability. Usually each member is liable only to the trustees of a bankrupt corporation or to its creditors for the debts of the corporate body, to the extent of the unpaid par value of the shares which he holds. But shareholders of national banking corporations are made liable for twice the par value of the shares held by them in addition to amounts unpaid on their subscriptions to the capital stock.

Continuous succession—that is, the capacity for transfer or transmission of shares without interruption to the continuing

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[5] Arthur W. Machen, Jr., Corporate Personality, Harvard Law Review, March, 1911, p. 350.

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existence and control of the corporation—is likewise not an unfailing guide to the presence of a corporate organization. Membership in some corporations is not transferable, while shares in many unincorporated companies may be freely alienated.

The right to sue and be sued, to hold property, receive and transmit it, in the corporate name is not exclusively a quality of the incorporated group. For instance, a recent act of the Maryland Legislature[6] grants to unincorporated associations the right to sue and be sued in any action affecting the common property, in the group name, whereas at common law it was necessary in a suit by or against an unincorporated association, to make each member of the group a party.

The attribute of unified control, also, is found in other types of groups than the corporation. In fact, it is far more effectively attained in the trust form of holding title than in a corporation.[7] Express trusts have been found by the experience of the past twenty-five years to be a convenient, safe, and unobjectionable method of co-operative ownership and management. This form of organization ensures a continuity of management and control that appeals strongly to investors in real estate,

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[6] Laws of Maryland, 1918, chapter 419. This is somewhat similar to section 215 of chapter 471 of the Acts of 1868, codified as Art. 23, sec. 415, Code of 1904, which was not included in the revised Corporation Act of 1908. The Act of 1868 provided that, "It shall be sufficient in any suit, pleading or process, either at law or in equity, or before any justice of the peace, by or against any joint stock company or association, to describe the said joint stock company or association by the name or title by which it is commonly known, or by or under which its business is transacted." For a discussion of this Act see Littleton v. Wells and McComas Council, 98 Md. 453, and Snowden v. Crown Cork and Seal Co., 114 Md. 658. The Act of 1908 revising the corporation laws of the state changes the words "joint stock company or association," which were contained in the Act of 1868, to "corporation," and it is not until the Act of 1918 mentioned above that the rights conferred upon unincorporated associations by the Act of 1868, and the interpretations given in the 98th and 114th Maryland cases are again put into the law.—See J. C. France, Principles of Corporation Law, 2nd ed. (1914), note, pp. 21, 22.

[7] H. L. Wilgus, Corporations and Express Trusts as Business Organizations, Michigan Law Review, Vol. XIII, No. 2, p. 71, December, 1914.

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which cannot be secured by a corporation with changing officers. The trustees who are the managing officers of a trust are not so likely to be changed as are the directors of a corporation. Again, the express trust affords a more economical and more convenient and flexible form of management than does a corporation. Trustees can transact business with more ease and rapidity than directors. Indeed, the development of the trust problem in the United States bears strong evidence of the advantages of the trust form over the corporate. And Maitland holds that "of all exploits of equity, the largest and most important is the invention and development of the trust. It is an institute of great elasticity and generality, as elastic, as general, as contract."[8]

Although it is true that there is no one quality or series of qualities in the absence of which a group cannot be said to be a corporation, yet the features just mentioned are those which corporate organizations usually assume. Even though the law can personify any group or succession of men whatsoever, and yet may provide that it shall not possess any one of the usual characteristics of a corporation; and, conversely, though it may declare that an association which possesses none of those characteristics shall nevertheless be personified, we need not despair of being able to recognize a corporate creature when we see it. Take, for instance, the two most distinctively corporate characteristics: limited liability and unified action and control,—those qualities which Chief Justice Marshall referred to as "immortality" and "individuality." These are the properties by which "a perpetual succession of many perons are considered as the same, and may act as a single individual. They enable a corporation to manage its own affairs, and to hold property without perplexing intricacies, the hazardous and endless necessity of perpetual conveyances for the purposes of transmitting it from hand to hand. It is chiefly for the purpose of clothing the bodies of men in succession with those

[8] Maitland, Lectures on Equity, p. 23.

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